The Road to Serfdom and the Definitions of Socialism, Planning, and the Welfare State, 1930-1950

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Abstract

There is a long-standing debate about whether the central hypothesis of F. A. Hayek's *The Road to Serfdom* (*TRTS*), warning of the incompatibility between socialism and democracy, extended to welfare states. The empirical validity of Hayek's hypothesis hinges on his definition of socialism. We build on previous works contextualizing and interpreting *TRTS* by examining the common definitions of socialism, capitalism, and the welfare state primarily between 1930-1950 according to 1) socialist intellectuals, especially those Hayek was engaging in *TRTS*, 2) reviews and responses to *TRTS*, 3) liberal intellectuals, and 4) prominent politicians and other public intellectuals in London. We find that socialism was commonly understood to mean economic planning under state ownership of the means of production. Those advocating for the expansion of welfare programs often held that state control or ownership of the means of production was necessary to fund social redistribution. Our findings bolster the interpretation of Hayek's central hypothesis in *TRTS* as being limited to economic planning under state control or ownership of the means of production.

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1. Introduction

What was the commonly understood definition of socialism at the time F. A. Hayek wrote *The Road to Serfdom* (*TRTS*)? There is contentious literature debating whether the central hypothesis of *TRTS*—a warning of the incompatibility between socialism and democracy—extends to the expansion of the welfare state or if it is limited to the pursuit of central economic planning under state control or ownership of the means of production (Boettke and Candela 2017; Caldwell 2004 & 2007; Farrant and McPhail 2009, 2010a, 2010b, 2011, & 2012; Jackson 2010 & 2012; White 2012, Ch. 6).

The central hypothesis of *TRTS* is often modernly interpreted as an inevitability argument (Farrant and McPhail 2009, 2010a, 2010b, 2011, & 2012; Ives and Meadowcroft 2014; McInnes 1998; Samuelson 2009; Shapiro 2001). This interpretation holds that Hayek's main argument was a warning that government intervention in the market process, including expansions of the welfare state, would inevitably, through a gradual descent along a slippery slope, culminate in the suppression of democratic freedoms and, ultimately, the emergence of totalitarianism.[1] The inevitability interpretation is problematic for Hayek since it lacks empirical support (Azevedo & Meadowcroft 2014; McInnes 1998), especially with the Nordic model demonstrating that a welfare state is not necessarily incompatible with democratic freedom.

An alternative interpretation of *TRTS*, however, avoids this fatal critique. Hayek's central hypothesis can be interpreted as a warning of the consequences of the unrelenting pursuit of central economic planning under state control or ownership of the means of production (Boettke and Candela 2017; Caldwell 1997; Jackson 2010 & 2012; White 2012, Ch. 6).[2] Unlike the

[1] Farrant and McPhail (2010b) argue that Hayek explicitly made it clear that he was not arguing that totalitarianism was historically inevitable or irreversible, so we do not consider these stronger interpretations of Hayek's inevitability thesis in this paper.
[2] Also see Boettke and Leeson (2002) and Makovi (2016).

slippery slope interpretation of *TRTS*, this interpretation has empirical support in the literature (Lawson and Clark 2010; Benzecry, Reinarts, and Smith 2023).

The literature on these two contending interpretations of *TRTS* hinges on Hayek's understood definition of socialism, planning, and the welfare state. There are statements in *TRTS* and in Hayek's later writings and correspondence that, according to our modern understanding of a welfare state, could be interpreted as suggesting an expanded definition of socialism for Hayek's central hypothesis that would include the welfare state (Farrant and McPhail 2009, 2010a, 2010b). Nevertheless, some scholars challenge this viewpoint, notably Caldwell (2011).

An exploration of the definitions of socialism, planning, and the welfare state at the time that *TRTS* was written and received could facilitate a better understanding of Hayek's central hypothesis. In this paper, we contextualize Hayek's arguments in *TRTS* by investigating the commonly understood definitions of socialism, planning, and the welfare state according to 1) socialist intellectuals, especially those Hayek was engaging in *TRTS*, 2) reviews and responses to *TRTS*, 3) liberal intellectuals, and 4) prominent politicians and other public intellectuals in London.

We find that the commonly understood definition of socialism when *TRTS* was written was central economic planning under state control or ownership of the means of production.[3] Capitalism was understood as the private ownership of the means of production. The two major books of the time written in response to *TRTS*, Finer's (1945[1977]) *Road to Reaction* and Wootton's (1945) *Freedom Under Planning*, explicitly interpret and criticize *TRTS*'s central argument as being limited to central planning where the state owned the means of production.

[3] One exception we find is Douglas Jay (1938, pp. 238-239) who argues against the widely accepted understanding of socialism of state ownership of the economy in favor of defining it as "the abolition of private unearned or inherited incomes…."

Thus, the debate when *TRTS* was published was whether Hayek intended the central argument of *TRTS* to apply only to central planning under complete ownership of the means of production or if it extended more broadly to central planning of the economy without state ownership of the means of production. This context suggests that Hayek's early critics did not interpret the central hypothesis of *TRTS* as extending to what would modernly be referred to as a welfare state.

While many of the socialists, especially those engaged by Hayek in *TRTS,* were advancing arguments for a welfare state, it was under the framework of central planning with state control or ownership of the means of production. Socialists of the era often saw state control or ownership of the means of production as a necessary condition for social redistribution (Ritschel 1997, pp. 127-130). This is because they thought reducing capitalism's profits and inefficiencies was necessary to raise the revenue required to support a welfare state.[4] We supplement this new contextualized intellectual history by examining the usage of the terms socialism and welfare state in books and newspapers using Google NGrams and Newspapers.com.[5] This data is consistent with this interpretation, showing that the usage of the term welfare state did not rise until after Hayek wrote *TRTS*.

Hayek's *TRTS* can be reinterpreted in this context. We argue that Hayek's definition of socialism in *TRTS* corresponded to the common understanding of the term at that time, which was central planning of the economy, not a modern welfare state. The interpretative confusion comes from Hayek's use of terminology, which is vague according to our modern definition of the welfare state but was considered unambiguous in the intellectual context of the time.

[4] It is important to note that some socialists advocating for partial state ownership of the economy explicitly saw it as a piecemeal step leading to full state ownership of the means of production (Benzecry, Jensen, and Smith 2024). Cole (1935), for instance, argued that piecemeal planning would inevitably lead to conflict with private industry and with other planned industrial areas, requiring more comprehensive national economic planning.

[5] See Magness and Makovi (2023) on using Google Ngrams in economic research. See Beach and Hanlon (2022), Geloso (2020), Geloso and March (2021), Scheck and Smith (2023), Sprick Schuster (2023), and White (2021) on using Newspapers.com in economic research.

Contrary to Hayek's contemporaries when *TRTS* was written, modern proponents of a welfare state often do not argue that central economic planning under state ownership or control of the means of production is necessary to finance it.

Our paper offers additional historical context to the debates interpreting *TRTS.* It also explains one of the primary contentions regarding its interpretation. Given this contribution, we argue that Hayek's primary purpose in *TRTS* was to posit a hypothesis of the mechanisms through which democracy would be undermined under central economic planning, defined as centralized direction or ownership of the means of production.[6]

The remainder of this paper proceeds as follows. Section 2 investigates the definitions of socialism and planning according to four major groups of participants in intellectual and political debates on socialism of the time. Section 3 details the arguments for welfare state redistribution that were being advanced by the socialists, especially those Hayek was engaging in *TRTS,* and demonstrates how they were often linked to arguments for state control or ownership of the means of production. Section 4 reinterprets Hayek's central argument in this refined context. Section 5 concludes.

2. The Commonly Understood Definitions of Socialism and Planning

We investigate the commonly understood definitions of socialism and planning according to four major groups of participants engaged in intellectual and political debates on socialism and planning while Hayek wrote *TRTS*: 1) socialist intellectuals, especially those Hayek was engaging in *TRTS,* 2) reviews and responses to *TRTS,* 3) liberal intellectuals, and 4) prominent politicians and public intellectuals.

[6] Many socialists themselves were concerned about the relationship between socialism and the suppression of democratic freedoms (Benzecry, Jensen, and Smith 2024).

While *TRTS* was initially published in 1944 in England, it originated in a memo Hayek wrote in 1933 that was later expanded into Hayek's (1939[2012]) "Freedom and the Economic System" (Caldwell 2007, p. 6; Jackson 2010 & 2012). The manuscript for the book was written between 1941-42 (Jackson 2012, p. 781). Hayek was at the London School of Economics from 1931 to 1950. Thus, to best capture the commonly understood definitions of *TRTS* when it was written, we focus primarily on the period between 1930 and 1950. This period captures the years prior to and after the publication of *TRTS.*

2.1 Socialist Intellectuals

Hayek's memo that served as the early foundation of *TRTS* was written to William Beveridge, who was also at the London School of Economics (Caldwell 2007, p. 1). According to Caldwell (2007, p. 1), Hayek addressed the popular "claim that fascism represented the dying gasp of a failed capitalist system." After completing the project, Hayek dedicated *TRTS* (1944[2007], p. 39) "To the Socialists of All Parties", and, according to Hayek (1944[2007], p. 39), the full draft originated "in many discussions" he had with "friends and colleagues whose sympathies had been inclined toward the left…." While *TRTS* was not written as a technical engagement with their works (Caldwell 2007, pp. 18-31), Stuart Chase, Henry Dickinson, Hugh Dalton, Evan Durbin, Oskar Lange, Harold Laski, Abba Lerner, Barbara Wootton, and the socialist authors of essays in Findlay Mackenzie's *Planned Society* (1937) were among the prominent socialists with whom Hayek was intellectually engaged (Benzecry, Jensen, and Smith 2024).

Dalton, Durbin, Laski, and Wootton were colleagues of Hayek's at the London School of Economics, and Lerner, after being a student of Hayek, also became his colleague (Durbin 1945;

Jackson 2012b, p. 57; Lerner 1944, p. viii; Wootton 1945, p. v).[7] Hayek engaged Lange, MacKenzie, and Dickinson in his academic work (Caldwell 2004, p. 217-220; Hayek 1938, 1940, & 1945).[8] And in the *TRTS*, Hayek referred to Chase (1944[2007], p. 124) as "One of the most prominent economic planners…"

Roughly a decade before Hayek started writing his initial memo that became *TRTS*, Rappoport's (1924) *Dictionary of Socialism* defined state socialism as "the Socialist doctrine which demands State intervention with a view to changing the capitalist into a collective régime. This is to be effected by gradually nationalizing the means of production, especially the big enterprises, such as railways, mines, banks, tramways, factories, etc." (p. 116) But, according to the dictionary, these reforms were considered "half-measures" (p. 117) to real socialists. True socialization was the:

> act by which the means of production will be handed over to the collectivity, thus transforming the capitalist into a collective system. Socialization means the abolition of private and individual, and the introduction of collective property. Collectivists demand socialization of the means of production only, whilst Communists wish to introduce the socialization of both of the means of production and the goods of consumption. (pp. 113-114)

Overall, Rappaport (1924, p. 40) concludes that "Social reformers who do not attack the institution of private property as a means of production and only postulate certain limitations in the interests of the collectivity are not Socialists." From reading Rappaport's dictionary, it is quite evident that socialism, at least prior to the writing of *TRTS*, unequivocally meant

[7] While the socialist Richard Tawney left his position at the London School of Economics the year Hayek arrived, Hayek held him in high regard (Ebenstein 2001, p. 57). In one of his major works, *The Acquisitive Society*, Tawney (1922, p. 56) described the essence of socialism as "the statement that the economic evils of society are primarily due to the unregulated operation, under modern conditions of industrial organization, of the institution of private property." Tawney is acknowledged as the primary author of the British Labour Party's *Labour and the Nation* (1927), which sets out the party's plan for the gradual nationalization of the economy (Durbin 1985, p. 60).
[8] In *TRTS* Hayek (1944[2007], p. 163) referred to MacKenzie (1937) as "one of the most comprehensive collective studies on planning."

government ownership of the means of production. Giffiths' (1924) *What is Socialism?* also provides a range of definitions of socialism but argues that there is consistent fundamental agreement on the need for "the social ownership and control of the *resources* [italics in original] of life."[9]

While it is important to note that the socialists of the era had a wide range of approaches, from state socialism to worker control of industry, summarizing the intellectual history of the era, Ritschel (1997, p. 20) writes, "the concept of 'economic planning' meant different things to different people, but at its core lay the one common, [sic] idea that deliberate control should replace the free operations of the market economy." The word planning in particular "represented not a minor policy departure or even a wider policy-agenda, but a systemic alternative to the existing economic framework: the substitute of deliberate economic control and organization for the discredited free-market system and its associated economic and political institutions" (Ritschel 1997, p. 13).

Laski (1923, p. 196) referred to private ownership of the means of production as the "fundamental basis of capitalism" (see also Laski 1923, pp. 123-4). This definition did not change over the next decade, as Laski (1933, p. 40) defined capitalism as profit and private ownership of "the essential sources of economic power" and defined socialism as denying the "validity of either premise…"

Beveridge's (1936, p. 2) *Planning Under Socialism* defines socialism as "an economic system in which private property in the means of production has been abolished."[10] This included

[9] Bertrand Russell (1918[2002], p. 11), who Hayek (1944[2007], p. 164) cites as a "contemporary socialist" in *TRTS*, wrote that "we shall come nearest to the essence of Socialism by defining it as the advocacy of communal ownership of land and capital."

[10] Lord William Beveridge's (1942[1969]) report on the post-war plans to expand social insurance came out in 1942. While the socialist party quickly attempted to get the plan adopted (Wood 1943, p. 3), the report did not necessitate central economic planning. Beveridge's (1945) plan for obtaining full employment, however, was heralded in the *Daily Herald* ("Beveridge's Plan for Full Employment," *Daily Herald* (London, England), November 9th, 1944) as

land, natural resources, banking, and capital goods. The goal of socialism, according to Beveridge's (1936, p. 4) understanding, was to use public ownership to maximize welfare.

Similarly, Durbin (1935a, p. 150) defined economic planning as "the extension in the size of the unit of management and the consequent enlargement of the field surveyed when any economic decision is taken." In *Practical Socialism for Britain,* which was praised by Durbin (1935b), Dalton (1935a, p. 27), in detailing how the British Labour Party ought to achieve democratic socialism, argued that:

> we may measure the degree in which any particular community is Socialist by the relative extent of the "socialised sector", and of the "private sector", in its economic life. Within the socialised sector public ownership and control, in some form, are present, and private profit-making is absent.[11]

Dalton (1935), along with many of the socialists Hayek was engaging in *TRTS,* advocated for a gradual transition in stages to complete state ownership of the means of production, writing that "Socialists hold that public ownership and control should replace private ownership and control over a steadily increasing part of the economic field" (p. 93). For Dalton (1935, p. 331), "the chief historic aim of Socialism" was to "transfer to public ownership private property rights in the means of production."[12] Dalton (1935), however, did make a distinction between socialism and planning. For Dalton (1935, p. 247), "Socialism is primarily a question of ownership, planning a question of control or direction." However, for Dalton (1935, p. 249), even social planning included the "deliberate direction by *agents of the community* [italics in original] of

"A Last-ditch effort to save Capitalism from chaos", with Beveridge warning that if "it should be shown by experience or by argument that abolition of private property in the means of production is necessary for full employment, this abolition would have to undertaken." In the report, Beveridge (1945, p. 23) did not view private ownership of the means of production as an essential right, stating, "The list of essential liberties given above does not include liberty of a private citizen to own means of production and to employ other citizens operating them at a wage."

[11] Dalton and Durbin served in parliament as members of the Labour Party (Caldwell 2007, p. 8, FN 25).

[12] According to Beveridge (1936, p. 3, FN *), Dalton's (1935) views represented a defense of "planning under capitalism."

economic activities towards ends, chosen on grounds of social, not of private, advantage" [footnote omitted]. Dalton (1935, p. 249) offered the Soviet Union as an example of "planning on a large scale." Planning necessarily entailed "deliberate direction" and "control of large resources" (Dalton 1935, p. 243, FN 1).

Dickinson (1935), in a letter to the editor of *The Guardian*, wrote that "The most generally accepted definition of Socialism is 'ownership of the means of production by the community as a whole.'" Barbara Wootton's *Plan or No Plan* (1934, p. 169) defines capitalism as the reliance on the price system and a planned economy as decision-making performed by "the authoritative decisions of third parties."[13]

While Lange (1936, p. 61) admitted that some degree of private property must be owned by "peasants, artisans, and small-scale entrepreneurs", he defined a socialist society as "public ownership of the means of production" (p. 55) with no capital goods market. For Lange (1936, p. 62), economic planning meant that "The decisions of the managers of production are no longer guided by the aim to maximize profit. Instead, there are certain rules imposed on them by the Central Planning Board which aim at satisfying consumers' preferences in the best way possible." Lange favored the creation of a central planning board capable of maximizing consumer preferences. He also favored a distinction between government control over production and consumption, believing the latter should be free from government interference (Lange and Lerner 1944, p. 58).

[13] Wootton's (1934) *Plan or No Plan* was one of the most prominent publications on socialist planning of the era. For instance, it was praised by Francis Williams in the *Daily Herald* (London, England, June 8th, 1934, p. 15) as "one of the clearest and most brilliantly written explanations of the differences between planned and unplanned societies, and one of the [sic] case for a planning, ever published." In 1935, in the *Daily Herald* (London, England, March 21st, 1935, p. 15), Roger Pippett described it as the "best book on planning in the English language."

MacKenzie (1937, pp. xix-xx) defines capitalism as the free enterprise system of prices and socialism as an economy managed by a planning board. In his edited volume, Mackenzie separates the articles on modern socialism into two sections. The first section is titled "Control and Planning in Particular Areas of Economic Activity" (p. xv), which includes land use, industrial relations, price fixing, public services, and monetary and fiscal policy. MacKenzie's short introduction for each article provides several challenges that may emerge in this limited form of central planning. When it comes to state provision of public services, for instance, MacKenzie (1937, p. 330) asks, "Are not practically all industries that produce necessaries [sic] 'clothed with public interest'?" When discussing industrial policy, MacKenzie (1937, p. 405) writes:

> Effective industrial planning is dependent upon the existence of some centralized agency functioning as a recognized authority. This agency must necessarily have power to influence either the scale of production, or prices, in all probability both. Prices are the heart of an economic system, and hence any interference with an economic system will inevitably cause repercussions in prices. Conversely, any attempts to control particular prices will be reflected in other parts of an economic system. When programs of control of economic activity are formulated by governments, prices must necessarily come under the scrutiny of planners.

Hence, like Lange, MacKenzie favored a socialist economy through the lens of a central planning entity capable of managing production toward the public interest. It combined government ownership of the economy with relatively free consumer preferences.

The second section of MacKenzie's (1937) book turns to "The Control and Planning of All Economic Activity."[14] Several of these essays offer a distinction between socialism and capitalism hinging on the private or public ownership of the means of production (Feiler 1937, p.

[14] Hayek's (1938, p. 362) critique of MacKenzie (1937) on the incompatibility of democracy and socialism was directed at the section on comprehensive economic planning, suggesting that this was Hayek's primary while developing *TRTS*.

748; Hook 1937b, p. 830; Sundelson 1937, p. 531; Stalin 1937, p. 865). Hook (1937a, p. 665), for instance, writes that planning:

> demands a permanent set of controls with powers of effective enforcement obviously incompatible with traditional capitalistic *laissez-faire* [emphasis in original] doctrine. Where the basic capitalistic relations of production are preserved and a system of governmental economic controls is grafted upon it, the resultant consequences–no matter under what ideology–logically lead to that modification of capitalism known as fascism. Where the capitalistic relations of production are abolished and the governmental controls are *democratically* [emphasis in original] adopted and administered in behalf of the producers, we have socialism.

Like Lange and MacKenzie, Hook also sees socialism as the ability of a governmental entity to direct economic production towards a democratic consensus of what is best for the population. That is, substituting profit for democracy as the reasoning behind the production process.

Dickinson's (1939) *Economics of Socialism*, praised by Lange (1942) in the *Journal of Political Economy*, thoroughly criticizes private ownership of the means of production:

> the private ownership of the means of production has appeared to many reformers as the fundamental source of evil in the system. To some, such as James Mill and Henry George, it is the private ownership of land and natural resources; to others, such as Major Douglas and Professor Soddy, it is the private ownership only of credit, that is the source of evil ; but to the majority, the private ownership of *all* [italics in original] non-human means of production–factories – factories, railways, machinery, and raw materials, as well as land and natural materials, and credit–has appeared as a barrier to the full utilization of the resources of the world in the service of the needs of mankind. The author holds this last-expressed view. (Dickinson 1939, pp. 5-6)

Chase (1942, p. 96) recognized the traditional understanding of socialism as government ownership of the means of production. However, he observed the growing popularity of policy involving "*control without ownership* [italics in original]," meaning central planning by the directive to the private owners of the means of production. Chase (1935, p. 69) saw this form of planning as heading straight towards full state ownership of the means of production, writing that "traditional property rights, especially of intangibles, may not be good enough." He argues that

this justification for limiting the progress of planning, citing the Supreme Court of the United States's series of "gold decisions" that gave "traditional property rights a body blow."

Lerner's (1944) *Economics of Control* was published after *TRTS* was completed. Lerner (1944) acknowledges the common understanding of socialism to be the abolition of private ownership of the means of production but then revokes this definition, perhaps under some influence from Hayek, and instead argues that the determination of whether the means of production should be held privately or publicly depends on an industry-level assessment of whether production is achieving competitive efficiency.[15] Thus, Lerner's definition of socialism involved state ownership of key industries but not complete state ownership of the means of production. As Lerner (1944, p. 1) staked out his novel position, "The fundamental aim of socialism is not the abolition of private property but the extension of democracy."

Jointly, Lange and Lerner (1944) defend private ownership of the means of production except in key industries prone to monopolization, such as finance and natural resources. They explicitly allow for private ownership of the means of production due to the perceived threat that complete state ownership would pose to democratic freedom (Lange and Lerner 1944, p. 55).[16] For instance, Lange and Lerner (1944, p. 55) made the argument that "private ownership of the means of production (private enterprise) provides economically independent citizens and thus form a bulwark of political democracy."[17] Lange and Lerner (1944, p. 56) go on to state:

> Throughout history democracy has been associated with the existence of free and independent producers, because economic independence is necessary to maintain political freedom and democratic control. […] Modern democracy emerged together with the system of free enterprise which broke up the concentrated economic powers of feudal institutions and of the mercantilist system.

[15] See also Stigler (1945).
[16] See Benzecry, Reinarts, and Smith (2023) on this point.
[17] Empirical research supports this argument (Lawson and Clark 2010; Benzecry, Reinarts, and Smith 2023).

Hence, it is possible to argue that Lange and Lerner, by the middle of the 1940s, were compromising some socialist views, given the recognized benefits of private property in preserving democratic freedom. Given the interactions between Lerner and Hayek, as they wrote their separate works, this transition could reflect Hayek's influence on Lerner and the ideas he was developing in *TRTS*.

Overall, the consensus among the socialists Hayek was directly engaging in *TRTS* was that socialism consisted of state ownership of the means of production, partial or complete, or, control of the means of production.

2.2 Reviews and Responses to TRTS

We examine the contemporaneous responses to the *TRTS* to see how Hayek's central hypothesis was interpreted when it was published. The two major books offering critiques of *TRTS* were Wootton's (1945) *Freedom Under Planning* and Herman Finer's (1945[1977]) *Road to Reaction.* These books are particularly helpful for examining the understanding of Hayek's hypothesis at that time as they offer in-depth engagement and critiques of Hayek's argument. Wootton's critique is particularly noteworthy because she was close to Hayek. She received an advanced copy of *TRTS* (Wootton 1945, p. v), and Hayek (1944[2007], p. 40) described her critical book as "courteous". We also examine reviews of *TRTS* published by Pigou, Durbin, Roll, Director, and Schumpeter. Finally, we also analyze Keynes's interpretation to *TRTS* as expressed in a personal letter to Hayek.

Wootton's (1945, p. 6) main criticism of *TRTS* relies on drawing a distinction between planning and socialism.[18] Wootton (1945, p. 6) defines planning "as the conscious and deliberate

[18] See Barnard (1946) for a critique of Wootton's (1945) *Planning Under Freedom.* Carl Landauer's (1944) *Theory of National Economic Planning,* offering a way to plan an economy without state ownership of the means of

choice of economic priorities [of production] by some public authority." Planning can be done "through the higgling of the market" or "consciously and deliberately as part of a plan…" (Wootton 1945, p. 7). She defines socialism as "generally held to mean (among other things) public ownership and operation of industry" (Wootton 1945, p. 11). For Wootton, "the distinction between socialism and economic planning is parallel with the distinction between doing something yourself and telling, or paying, somebody else to do it" (1945, pp. 11-12). Wootton argued that Hayek's arguments applied to central planning under state ownership of the means of production but did not extend to central planning using directives under private ownership.

For instance, Wootton (1945, p. 28) writes, "It is therefore not enough for Professor Hayek to assert (quite correctly) that the power of the planner over our private lives rests on his power over production. [footnote omitted] It does. But power can be exercised in different ways in different degrees." Summarizing Wootton's response to Hayek, Rosenboim (2014) writes:

> When Hayek published *The Road to Serfdom*, suggesting that economic planning could lead to totalitarianism, Wootton was quick to write a detailed reply aimed at proving Hayek wrong. Her book, *Freedom under Planning*, was a meticulous critique of Hayek's arguments, arguing that economic liberty and public planning could be reconciled. Wootton pointed out that Hayek's thesis was built on the assumption that effective economic planning would necessarily entail public ownership of the means of production resulting in loss of individual freedom of economic enterprise. Her goal was to convince her readers that a measure of public planning – alongside private initiative and enterprise – was possible.

Hence, Wootton's critique of *TRTS* is that Hayek only refuted socialism, as defined by state ownership of the economy, but not economic planning. Wootton interpreted Hayek's argument as strictly applying only to state ownership of the economy.

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production, had to detail this break from the common understanding of socialism in his introduction (p. 2). In a review of the book in the *American Economic Review*, Horace Taylor (1945, p. 167) identifies this in the first paragraph as one of its distinguishing contributions.

In *The Road to Reaction*, Finer (1945[1977]) summarizes Hayek's argument by also highlighting the difference between socialism and economic planning:

> As a way to planning production and distribution, competition is perfect in theory and practically so in action. Competition allows freedom to plan one's life without outside "arbitrary" interference. Private property is the guarantee of liberty, even for those who possess none, because it stops a government from having too much power. (p. x)

Finer's (1945[1977], Chs. 3 & 11) critique of *TRTS*, similar to Wootton's, hinges on the interpretation of Hayek's arguments as applying exclusively to comprehensive central planning under state ownership of the means of production. As Finer (1945[1977], p. 22) argues "No one intends to 'plan' or 'collectivize' or 'socialize' *all* [italics in original] economic activities…" but that "Hayek allows no refuge, however to the moderate person…" because moderation "spoils their theory…" For instance, Finer (1945[1977], p. 212) recognized freedom to own the press as a vital protector of democracy.

Pigou (1944, p. 217), in his review of *TRTS*, interprets Hayek's argument as a critique not of "planning as such" but of planning as a substitute for market competition. Durbin (1945, p. 358), in his review of *TRTS*, interprets Hayek's argument as such, understanding Hayek to define economic freedom as the right of labor and property. Durbin (1945, p. 358) stresses that:

> …Hayek is at pains to explain [references omitted] that he does not wish to defend unchanging institutions or support mere inactivity on the part of the State. *Laissez-faire* [italics in original] is not enough. He wishes to see the State continuously active in preserving economic freedom, in scotching monopoly or syndicalism wherever it may appear, and in saving the economically weak from destruction by the strong.

Roll (1945), in a critical review of *TRTS* interprets Hayek's central argument as applying to national planning, acknowledging that Hayek admits "the need for some planned and centralized action even to the extent of recognizing the desirability of ensuring to every member of the community some minimum standards" (p. 179).

Aaron Director (1945, p. 175), in his review of *TRTS*, interprets Hayek's central argument as applying to the abandonment of the competitive enterprise system and argues that:

> Professor Hayek makes it abundantly clear that a liberal society must do many things which can only be done through the instrumentality of governmental authority both in order to assure the continuation of competitive enterprise and to mitigate some at least of its undesirable results. This is true not only as regards the perfection of the rules of the game to increase the effectiveness of competition, monetary management to promote economic stability, and the control of economic activities not amenable to the competitive principle, but also as regards measures to alleviate the lot of those "who, in the great lottery of life, have drawn a blank."

Schumpeter's (1946, p. 269) review of *TRTS* interprets its central argument as a "simple and straightforward argument to the effect that in a fully 'planned' society, though it may continue to be democratic in a purely formal sense, all those guaranties will be lacking by which there is any relation at all between democracy and liberty…"

Keynes's (1944[1980]) letter to Hayek on his reading of *TRTS* can also be considered. In the letter, Keynes (1944[1980]) famously writes that he is "in agreement with virtually the whole of it" (p. 385) but that his main criticism of the book is that Hayek is vague on where to draw the line between capitalism and planning (pp. 386-7). Keynes' critique thus interprets Hayek's main argument as applying to planned economies, not the welfare state, arguing that Hayek unfairly discounts the middle way.

The debate of *TRTS* following its publication was not whether Hayek intended it to apply to the welfare state. Several reviewers recognized that Hayek argued for avenues of state intervention in the economy, including some welfare provisions. Rather, the debate following its publication was whether the arguments in *TRTS* extended to economic planning without state ownership of the means of production or were strictly limited to economic planning under state ownership of the means of production.

2.3 Liberal Intellectuals

We also examine the understanding of socialism, planning, and welfare according to liberal intellectuals. While in *The General Theory,* John M. Keynes (1936[1997]) advocated for government intervention in the economy, he stopped short of advocating for state socialism, which he defined as "the ownership of the instruments of production." (p. 378)[19] He did, however, argue that "a somewhat comprehensive socialisation of investment" would be necessary to secure full employment (Keynes 1936[1997], p. 381). He advocated for increased state intervention to adjust the propensity to consume and to induce investment specifically to protect against "The authoritarian state systems of to-day" which to him, seemed "to solve the problem of unemployment at the expense of efficiency and freedom." Keynes (1936[1997], pp. 380-381) believed that allowing individual autonomy, which would be threatened by socialization, was the "best safeguard of personal liberty" because it allowed "for the exercise of personal choice."

Schumpeter (1942, p. 167) defined socialism as "an institutional pattern in which the control over the means of production and over production itself is vested with a central authority…" Frank Knight (1946, p. 451), in a review of Barbara Wootton's (1945) *Planning Under Freedom,* defines the "current meaning of 'planned economy'" as "a more appealing synonym for state socialism." Knight's (1946, p. 453) understanding of Hayek's central thesis, which he referred to as a "general political prediction" was "that general replacement of the free-

[19] We include Keynes is this section based on his objections to socialism, but we acknowledge that there is legitimate debate on whether Keynes should more broadly be considered a liberal (Raico 2008). At least some socialists of the era rejected Keynes as a liberal (Durbin 1985, p. 14; Ritschel 1997, p. 6). Keynes was also concerned about uncontrolled government spending and "believed that in normal times governments should be running surpluses and, even during downturns, he questioned whether government debt to GDP should ever exceed 25%" (Benzecry and Smith 2023, p. 12). However, Keynes is a complex figure with a rich intellectual contribution that we do not intend to place under a specific label. Hence, the decision to place him in this section with other liberals is the best alternative to writing an entire section on Keynes.

market organization by a predominance of centralized political control will mean the destruction of democracy and freedom and the establishment of a totalitarian social order." Knight (1946, p. 453) goes on, "I should like particularly to stress Hayek's point that it is less a matter of the particular things that the state undertakes to do than it is of the total amount. What is essential to freedom is the preservation of the open market in the major part of the field… […] Of course this does not mean literal 'laisser [sic] faire'…"

Robbins (1947[1957], p. 80) expressed a similar argument:

> …I must confess to great fears regarding liberty under collectivism. […] But I cannot get out of my head the conviction that there can be precious little freedom, precious little safeguard against arbitrary power, precious little spice and variety, in a society in which there is only one employer and only one property owner.

Robbins's (1947[1957], p. 76) definition of collectivism was "a transfer of ownership and control to the state, or to an organ of the state…" (p. 76). Jewkes' (1948, p. x) *Ordeal by Planning* defines capitalism as including "the institution of private ownership in property (including property in the means of production)" and a centrally planned economy as "State determination of investment and its distribution" and "progressively the destruction of private property…". Jewkes (1948, p. vii-xi), while noting that Britain was not a socialist country by this definition, wrote his book because he saw a growing interest in socialism across political parties and shared Hayek's concern that socialism if pursued, would undermine personal freedom.

According to liberal intellectuals during the time that Hayek wrote *TRTS*, the understood definition of socialism was state ownership of the means of production. At that time, Hayek's arguments were not interpreted by liberal intellectuals as extending to the welfare state.

2.4 Prominent Politicians and Other Public Intellectuals

The definitions of socialism, planning, and the welfare state held by socialists, reviewers of *TRTS*, and liberal intellectuals match the common understanding of economic planning and socialism that were prevalent at the time of Hayek's publication of *TRTS*, especially in London (Knight 1946, p. 454; Jackson 2012; Laidler 1944[1968], Ch. 31; Laybourn 1997; Thomas 1949[1951]; White 2012, Chs. 6 & 7).

During the 1930s, the major British political parties included the Labour, the Tory, and the Liberal Party (Ritschel 1997, Ch. I). As Ritschel (1997, p. 47) writes, "The call for the reorganization of the economy according to a 'plan' of one kind or another was heard in all parties and covered practically the entire spectrum of the politics of the day." While the degree of planning and who would do the planning, ranging from national boards to labor unions or industry groups, varied among and within the parties, all the major parties embraced replacing economic decision-making with centralized decision-making to some extent. The Liberal Party, for instance, embraced a "Yellow Book" platform in 1928 that advocated for a mixed economy that would combine private and state ownership of the economy, as well as regulated public sectors (Ritschel 1997, p. 43). The Tory party also embraced the "rationalization" of industry and planning (Ritschel 1997, Ch. I).

The Labour Party most explicitly embraced socialism. It rose to political power in the 1920s, culminating in the party achieving junior partner status in the wartime coalition and a landslide victory in 1945 that put its party leader, Chamlee Attlee, as Prime Minister.[20] According to the Labour Party's 1918 Clause IV of its Constitution, it sought to

> to secure for the producers, by hand or by brain, the full fruits of their industry and the most equitable distribution thereof that may be possible upon the basis of the

[20] The Labour Party (1945) Election Manifesto states "The Labour Party is a Socialist Party, and proud of it. Its ultimate purpose at home is the establishment of the Socialist Commonwealth of Great Britian…" but that "Socialism cannot come overnight." Rather, they proposed taking public ownership of fuel and power industries, inland transport, iron, steel, the Bank of England, and complete land nationalization.

> common ownership of the means of production, and the best obtainable system of popular administration and control of each industry or service.[21]

The Labour Party was explicitly "committed to introducing socialism as the alternative to capitalism" (Durbin 1985, p. 13).[22] The form of socialism advocated was "control of the economy through the nationalization of the means of production, distribution and exchange." In 1934, the Labour Party (1934) issued a program of action *For Socialism and Peace* that set out "To convert industry, with due regard to the varying needs and circumstances of different sections, from a haphazard struggle for private gain to a planned national economy owned and carried on for the service of the community." The program received broad support within the party (Durbin 1985, p. 12). For the party:

> There is no half-way house between a society based on private ownership of the means of production, with the profit of the few as the measure of success, and a society where public ownership of those means enables the resources of the nation to be deliberately planned for attaining the maximum of general well-being. (p. 6)

More intermediate programs, such as the *Labour's Immediate Programme* (1937), were explicitly designed to initiate the transition towards socialism under a realistic timeframe that would help bolster electoral support but still listed socialism as Labour's first aim (Durbin 1985, pp. 12-13). In 1935, a resolution was advanced in the House of Lords that stated:

> …in view of the failure of the capitalist system, legislative effort should be directed to the gradual suppression of that system by an industrial and social order based on the public ownership and democratic control of the instruments of production and distribution.[23]

Clement Attlee, the leader of the Labour Party from 1935-1955 and Prime Minister from 1945 to 1951, included collective ownership of major industries as a necessary feature of socialism in his

[21] http://www.labourcounts.com/
[22] See also Ritschel (1997).
[23] "A Debate on Socialism," *The Guardian* (London, England). March 21st, 1935.

own work (Attlee 1937, pp. 152-3).[24] *The Guardian* reviewed Catlin's (1935) *New Trends in Socialism*, featuring chapters primarily written by Labour Party members, alongside George Cole's (1935a) *Simple Case for Socialism*.[25] In a chapter of Catlin (1935), Young (1935) writes in "The Political Problem of Transition" (1935, p. 133) that the process of replacing capitalism with "…State or semi-State ownership, direction, or control over a large part of our economic and social life… can be carried on more rapidly…" George Cole (1935a, p. 7), who was an academic and Labour Party member and appointed a member of the National Economic Advisory Council in 1929, includes "common ownership and use of all the vital instruments of production…" among his four key tenants of socialism.

These were not idle talking points but goals that they sought to implement. In 1936, The Guardian reported on a failed House of Commons motion to achieve socialism, defined as "the gradual supersession of the capitalist system by an industrial and social order based on the public ownership and democratic control of the instruments of production and distribution."[26] Also, in 1936, the Labour Party politician John Strachey published *The Theory and Practice of Socialism*. Strachey (1936, p. 19) defines capitalism as the private ownership of the means of production and defines socialism as a system "*in which consumers' goods, but not means of production, pass into private hands.* [italics in original]" (p. 107). In a book review in *The Observer*, Thomas (1942, p. 3) notes that "state ownership of the means of production" is the necessary framework of socialism. Thomas (1949[1951], p. 11) later confirms that "Socialism is commonly defined as a form of the economic organisation of society in which the means of production are owned by or on behalf of the community as a whole…"

[24] Attlee was a lecturer at the London School of Economics prior to Hayek's arrival in 1931 (Ebenstein 2001, p. 57).
[25] "The Chances of Socialism: "Gradualism" Again," *The Guardian* (London, England). October 18th, 1935, p. 5.
[26] "Socialism by Stages," *The Guardian* (London, England). March 12th, 1936, p. 6.

The Labour Party's goal and definition of socialism were broadly recognized. Newspaper articles, often reporting on the policy stances of parties or politicians, commonly defined socialism as the state's ownership of the means of production or the rejection of capitalism (Williams 1938).[27]

The intellectual milieu in London while Hayek developed and wrote the *TRTS* was that socialism was state control or ownership of the means of production. All the major parties in Britain at that time embraced some form of planning.

3. The Socialist Welfare State During the First Half of the 20th Century

Many of the early advocates of a welfare state redistribution, on the grounds of equality or simply providing a basic level of support for the poor, thought that to achieve this goal, it was necessary for the state to centrally plan the economy with state control or ownership of the means of production.[28] Many of the planners that Hayek was engaging in *TRTS* held this view. Central planning was considered necessary because only through the elimination of inefficiencies and profit could the state acquire the resources necessary to fund welfare policies.[29] This is distinct from the modern definition of the welfare state, which eventually received the

[27] "Debate of the Address," *The Guardian* (London, England). November 29th, 1932; "Sir Stafford Cripps and Definite Socialism," *The Guardian* (London, England). May 21st, 1934; "A Programme for Labour," *The Guardian* (London, England). May 21st, 1934; "The Three Resolutions," *The Guardian* (London, England). May 25th, 1935; "Constructivism: A New Banner," *Westminster and Pimlico News* (London, England). August 23rd, 1946; "Tory Demand for Policy: Fear of Socialism," *The Guardian* (London, England). October 4th, 1946; "Tories Demand a Policy But Not 'United Front,'" *Daily Herald* (London, England). October 4th, 1946; "Party of Rich Men," *The Observer* (London, England). February 13th, 1949; "Personal Freedom: Liberals' Opposition to "Control by the Few"," *The Guardian* (London, England). February 14th, 1949.

[28] Russell (1918[2002], p. 67) argues that organizational efficiency under communal organization would enable free sharing of resources.

[29] This is not to say that every scholar arguing for welfare held that state control or ownership of the economy was necessary to fund a welfare state. For instance, Milner (1920, p. 12) argued for a state bonus system that would be funded by increasing productivity while retaining private ownership of the means of production, partly by developing a collective aim that would give purpose and motivation to workers. See also Pickard (1919). The Labour Party, however, rejected the state bonus scheme for being unrealistic for a capitalist system (Sloman 2019, p. 67).

popular label of “socialism” after *TRTS* was written. The modern definition dropped state control or ownership of the economy as a necessary feature of the welfare state.

Laski (1933, p. 163) expressed doubts over the viability of a “social service state” grafted onto a capitalist system, arguing that “A Society can no more make peace between the motives of private profit and public service than it can continue half-slave and half-free” (p. 164). Laski (1933, p. 233) argues that the “operation of the profit-making motive is an essential contradiction of this motive [a more equal society]”.

Dalton (1935), in advancing a Labour Party program for addressing social equality and providing welfare state measures, maintained government ownership of the means of control as a necessary feature. For Dalton, the revenue provided by socialized industry was necessary to support social programs. In a chapter on social equality, Dalton (1935, p. 326) argued that “Only the growth of planned prosperity, and a heavy fall in unemployment, can ease the Budget problem. But gradually contributions from the surpluses of socialised enterprises should become an important aid to public revenue.” Emphasizing the point, Dalton (1935, p. 327) goes on “of the measures for achieving social equality–for a Socialist, indeed, the most fundamental–is the extension of the ‘socialised sector’.” This is because “It generates no large unearned incomes, no inflated salaries, no private profits, only a social surplus which all its members share” (p. 327). For Dalton (1935, p. 327), socialization without “any confiscation of private property rights” would make “no direct contribution to equality”.

Beveridge (1936, p. 20), when discussing how socialism would improve the equality of income, stressed that “Compulsion can under certain conditions cost less than reliance on the economic motive,” using the military draft as an example. Beveridge (1936, p. 21) specifically

links the ownership of the means of production to the ability to generate savings to cover the expenses of the state.

Dickinson (1939, p. 55) thought welfare state policies under capitalism could not achieve their objective:

> owing to inequalities in income and differences in the standard of living, it is impossible, even theoretically, in capitalist society to allocate resources satisfactorily between communal and individual consumption. Gross inequalities in individual income render the marginal utility of resources spent in the free market an almost meaningless concept; differences in the standard of living make the marginal utility of resources used in communal consumption very different to persons of different social classes; it is impossible to make an economic balance. Under these circumstances, the process of allocation becomes not an economic but a political process; power and not welfare determines the issue. Thus, under capitalism, when a democratically elected body votes social services, the forms of economic allocation merely conceal a struggle between the haves and the have-nots…

For Dickinson (1939, p. 56), the only way to achieve equality would be for a society to be "purged of the disorders engendered in it by class divisions and by the vested interests arising out of the private ownership of business…" and through the use of broad economic planning. Only "with all production carried on by organs of public economy" would "many of the obstacles that now exist to an extension of social services" be "swept away" (p. 56). This is because public ownership of the means of production would reduce the profit margin and prevent unnecessary waste of private resources in duplicating publicly provided services (Dickinson 1939, pp. 56-7).

Durbin (1940, p. 101) held that the "institutions guaranteeing a central control of industry and a broad measure of social equality" are "the final stage of the democratic repudiation of capitalism."[30] Durbin (1940, p. 147) argued that Welfare state measures inherently required the elimination of private ownership of the means of production:

[30] It is important to note that Durbin (1940, p. 325) did not believe that concentrated capitalism was headed towards collapse or decay, just a "unsatisfactory economy."

> We wish to use the power of the State to establish expansionist policies within the growing socialized sector of the economy; to restore and maintain a high level of active accumulation; to moderate insecurity still further; to curb the cyclical oscillations of economic activity by a control of the income and investment position of the community; and to secure much greater equality in the distribution of the product of industry. It is only possible to do this by the supersession of private property as the seat of industrial control, as distinct from property as a form of personal reserve. The institutional trends that have robbed property of its functions must be strengthened and developed until property is completely deprived of its power.[31]

Durbin (1940, p. 95) also argued that public welfare programs would increasingly take more and more of national income and that there is not "the slightest reason to suppose that this process will stop. Indeed, it is certain that it will not." Ultimately, for Durbin (1940, p. 96), "The area of the economy directly controlled by the Government, the section of expenditure consumption and production that is already socialized, has grown enormously, is still growing, and is likely to grow still further." But how would these social services be paid for? Durbin (1940, p. 32) held "the belief that greater equality in the distribution of income and property can be combined with economic efficiency only in an industrial system that is centrally controlled."

Cole (1935b, p. 253 & 261) argued that economic planning, by making better use of the means of production, as well as a decline in profits and interest, could help fund a social dividend system. Specifically on Beveridge's proposed children's allowances, Cole (1943, p. 162) argued that they "would be difficult to do (…) on an adequate scale under the capitalist system.[32] But 'social dividends' could quite well be paid, under a Socialist of [sic] semi-Socialist system, by the method of dividing the income generated in production into two parts and paying out one part in rewards to the producers and the other in the form of a general 'social dividend'."

[31] Durbin's market socialism retains only the "virtues of capitalism" which are rationalism and mobility (Durbin 1940, p. 148). For more on Durbin's socialism, see Durbin (1985, Ch. 8).
[32] See also Ritschel (1997, p. 127).

Lange (1936) envisioned socialism as producing a national profit that could be used to produce a social dividend paid back to individuals. Lerner (1944, p. 277) also held that redistribution would depend on the adoption of state control of the economy, arguing that "Since an attempt to redistribute income on a sufficient scale to make an appreciable difference to the propensity to consume really belongs to the controlled economy…"

James Meade's (1948) *Planning and The Price Mechanism*, touted in *The Guardian* as offering the "Middle Way in Planning," defends what can modernly be described as a welfare state. However, his outlined middle way still required "very extensive measures of State planning, ownership, control and intervention" (Meade 1948, p. 11). A review of the book published in *The Guardian* observes that "In 1945 most people would have said that the fundamental issue, to plan or not to plan, was settled ; all the political parties seemed firmly to have accepted, in practice if not in theory, a large measure of State planning and control."[33]

According to Laidler (1944[1968], p. 740) in the *History of Socialism,* state socialism, as advocated to engage in social redistribution under capitalism, was understood to include arguments for extending state ownership of the means of production for the purposes of efficiency, revenue-generation, foreign trade support, increasing worker loyalty to government, and to placate people to prevent full socialism.[34] Laidler (1944 [1968], p. 741) quotes Morris Hillquit (the leader of the American Socialist Party at that time) as stating, "Government ownership [or state socialism] is often introduced not as a democratic measure for the benefit of the people, but as a fiscal measure to provide revenue for the government…"[35]

[33] T. W. K. (1948). "Middle Way in Planning," *The Guardian*, London, England (August 16th, 1948), p. 4.
[34] Laidler's (1944[1968]) *History of Socialism* is an updated and expanded edition of *Social-Economic Movements*, initially published in 1944.
[35] While an examination of Hayek's later writings, especially *Constitution of Liberty* (Hayek, 1960), as is done in Farrant and McPhail (2012), falls beyond the scope of this paper, these excerpts from Laidler's (1944[1968]) suggest that this may have still been the commonly understood definitions at that time.

This understanding extended to the major political party advocating explicitly for socialism, the Labour Party. An early form of the Labour Party, the International Labour Party, for instance, "anticipated that private industry would not prove efficient enough to pay the 'Living Wage' and would therefore be obliged to accept an even more ambitious programme of socialist reconstruction" (Ritschel 1997, p. 33). Brailsford (1926, p. 9), one of the leaders of the Labour Party, stressed that "Socialism means equality, but it also means national planning" (as quoted in Ritschel 1997, p. 33).[36] The Labour Party politician John Strachey (1936, p. 113) argued that Marx's (1875) principle of redistribution, "from each according to his ability, to each according to his needs." (p.114), was only possible if the means of production were "developed to a much higher point…" (Strachey, p.114), where "we must have the technical ability to create super-abundance."

We supplement this contextualized intellectual history with data on the usage of the terms socialism and welfare state in books and newspapers. Keyword searches from Google Ngrams allow us to measure the relative annual usage of "socialism" and "welfare state" in books during this period.[37] Figure 1 demonstrates that the use of the term "welfare state" did not rise until several years after *TRTS* was published. This is consistent with the understanding in the literature (Weir 2001; Gough 1979, pp. 1-3). Given the lower relative frequency of the term "welfare state" compared to socialism, we added an additional line that scaled "welfare state" usage by 10 to help visualize the variation in its usage.

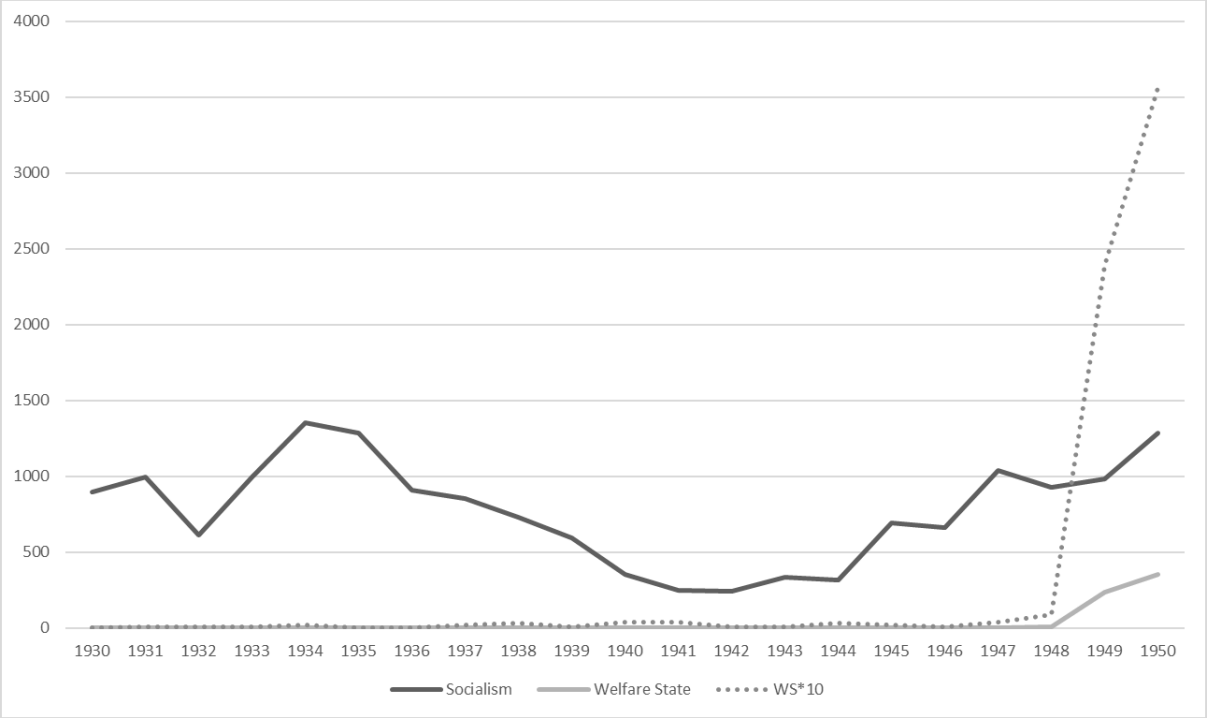
Figure 1: Frequency of Terms Socialism and Welfare State in Books, 1930-1950

[36] See also Brailsford (1925) and Oldfield (1976).
[37] We use British English (2019) with no smoothing.



We also perform keyword searches of these terms in London newspapers using Newspapers.com. Figure 2 shows the relative annual usage of "socialism" and "welfare state" in Greater London newspapers during this time. Again, due to the relatively infrequent use of "welfare state" to "socialism," we added an additional line that scales "welfare state" by 10 to visualize the variation better. Like the usage of these terms in books, the term welfare state did not rise until 1948, after Hayek published *TRTS*.

Figure 2: "Welfare State" and "Socialism" in Greater London Newspapers, 1930-1950



This data is consistent with our assessment from our contextualized intellectual history that Hayek's arguments in *TRTS* were limited to socialism and did not extend to a welfare state.

Future research can provide a more robust explanation for why the term "welfare state" became popular after 1948. Though this paper does not attempt to explain this phenomenon, it is possible that, at least in Britain, it could be due to the gradual implementation of the Beveridge Report, completed in late 1942. The Labour Party won the 1945 general elections but adopted welfare state measures rather than state ownership and control of the economy (Brooke 1991; Ritschel 1997, Ch. 8; Sloman 2019, p. 63). The experience, however, suggests that the socialists may have had good reason to search for a fiscal means to finance a welfare state. The measures adopted proved to be fiscally unsustainable, leading to the accumulation of deficits and debt, and, ultimately, inflation (Sloman 2019, pp. 97-103).

4. A Contextualized Reading of *The Road to Serfdom*

Given this new contextualized intellectual history, we now examine Hayek's writings. In *TRTS*, Hayek (1944[2007], p. 110) defines capitalism as the private ownership of the means of production and refers to "the system of private property" as "the most important guaranty of freedom…" (p. 136). Hayek (1944[2007], p. 83) separately defines socialism as "the abolition of private enterprise, of private ownership of the means of production, and the creation of a system of "planned economy" in which the entrepreneur working for profit is replaced by a central planning body." Furthermore, Hayek (1944[2007], p 90) stresses that:

> It is of the utmost importance to the argument of this book for the reader to keep in mind that the planning against which all our criticism is directed is solely the planning against competition–the planning which is to be substituted for competition.

In *TRTS* Hayek [1944[2007], p. 85) also stressed that his critique of planning should not be confused "with a dogmatic laissez faire attitude." Hayek made sure to make this point because he believed that "Probably nothing has done so much harm to the liberal cause as the wooden insistence of some liberals on certain rough rules of thumb, above all the principle of laissez faire" (p. 71). Hayek, for instance, argues that government should provide a legal framework ([1944[2007], p. 86), allow "other methods of guiding economic activity" to improve competition (pp. 86 & 90), establish antitrust rules (p. 71), provide consumer protection regulation (p. 86), and provide a monetary system (p. 72). Hayek emphasized that a system of welfare provision was not incompatible with capitalism, stating, "Nor is the preservation of competition incompatible with an extensive system of social services…" (p. 87). Separately,

Hayek (p. 156) writes, "There can be no question that adequate security against severe privation […] will have to be one of the main goals of policy" (p. 156).[38]

These definitions correspond with Hayek's (1939[2012]) essay, *Freedom and the Economic System*, which built upon his earlier memo to Lord Beveridge and served as the basis for *TRTS*. Hayek (1939[2012], pp. 33-34) stressed that "The point is not that any dictatorship must inevitably eradicate freedom, but that planning leads to dictatorship because dictatorship is the most effective instrument of coercion and enforcement of ideals, and as such is essential to make planning on a large scale possible." Hayek's (1939[2012]) use of terms such as "collectivism" (p. 3), "state control over economic life" (p. 4), make it clear that he is not referring to a welfare state under private ownership of the means of production. Hayek (1939[2012], p. 5), for instance, notes that it is "not a new idea that the central direction of economic activity might involve the destruction of freedom and of democratic institutions." Explicitly, Hayek (1939[2012], pp. 6-7) writes:

> The main point is very simple. It is that comprehensive economic planning, which is regarded as necessary to organize economic activity on more rational and efficient lines, presupposes a much more complete agreement on the relative importance of the different social ends than actually exists, and that in consequence, in order to be able to plan, the planning authority must impose upon the people the detailed codes of values that is lacking.

Hayek (1944[2007, p. 44), in his 1956 introduction, reiterates that the main emphasis of the book was "hot socialism" which he defines as "that organized movement toward a deliberate organization of economic life by the state as the chief owner of the means of production…" He recognizes that the advocacy for this type of socialism waned after the war, stating that it was mostly replaced with advocacy for the welfare state, which Hayek (1944[2007], p. 44) defines as

[38] Contrary to many of the socialists, these statements reflect that Hayek held that a welfare state did not require government ownership of the means of production.

a “hodgepodge of ill-assembled and often inconsistent ideals.” Hayek (1944[2007], p. 44) stops short of saying the arguments in *TRTS* could extend to a welfare state, especially in an inevitability hypothesis, stating rather that they “in their aggregate effect may well unintentionally produce this result” but that “very careful sorting out of its results” was necessary. This is because the demand for quick results in politics might lead to the use of direct state control over the modification of general rules or the employment of taxes and subsidies. Hayek (1944[2007], p. 45) believed that understanding the effects of complete central planning, as offered in *TRTS*, could guide experimentation and improvement by ensuring that we do not “commit ourselves to courses from which withdrawal may be difficult.”

Hayek [1944[2007], p. 54) reiterated this definition in his introduction to the 1976 edition of *TRTS*, defining socialism as government ownership of the means of production, considering the new usage of the term socialism to refer to welfare states. At the time Hayek (1976 [2007], p. 54) wrote *TRTS*, he stressed, “socialism meant unambiguously the nationalization of the means of production and the central economic planning which this is made possible and necessary.”

Importantly, Hayek’s *TRTS* was seen as building upon Walter Lippmann’s (1938) *The Good Society* (Finer 1945[1977], p. 21), so much so that Hayek’s director of press, Joseph Brandt, sought to have Lippmann write an introduction to *TRTS* (Caldwell 2007, p. 1). In *The Good Society*, Lippmann (1938, Section XI) provides roles for government that include education, conservation, monetary and fiscal policy, social insurance, public investment, and social services.

According to Jackson (2010, p. 139), in Hayek’s address to the Economic Club of Detroit in 1945, Hayek came out against “the idea that all government action or interference with business is bad.” He also opposed “the very dangerous tendency of using the term ‘socialism’ for

almost any kind of state activity which you think is silly or which you do not like." As Jackson (2010 & 2012) argues, the intellectual context of when *TRTS* was written demonstrates that the key concern was not the welfare state but socialism.[39]

Among the socialists who Hayek sought to engage with in *TRTS*, reviewers of *TRTS*, liberal intellectuals, and other public intellectuals, the middle way socialism being advocated involved central planning using directives, often with partial or complete ownership of the means of production. The modern colloquial usage of socialism to refer to countries with large welfare states only emerged after Hayek wrote *TRTS*.

A logical inference from Hayek's point is that he is not arguing that if we allow income redistribution and a welfare state, it will inevitably lead to totalitarianism, but rather that an overwhelming desire for the central direction of the economy, through state control or ownership of the means of production, will allow totalitarianism to loom on the horizon. This is what is called the "Hayek Hypothesis," which is clearly stated by Hayek:

> If "capitalism" means here a competitive system based on free disposal over private property, it is far more important to realize that only within this system democracy is possible. When it becomes dominated by a collectivist creed, democracy will inevitably destroy itself. (Hayek (1944 [2007], p. 110)

The inevitability is given not from a welfare state to totalitarianism but from the "collectivist creed" to totalitarianism.

5. Conclusion

We contributed to the long-standing debate on whether the central argument in F. A. Hayek's *TRTS*, hypothesizing an incompatibility between socialism and democracy, extended to welfare states or was intended to apply only to central economic planning. We do this by providing

[39] See also Epstein (1999).

historical context on the definition of socialism and planning when Hayek wrote *TRTS*, focusing primarily on the period between 1930 and 1950. We looked at these definitions according to 1) socialist intellectuals, especially those Hayek was engaging; 2) reviews and responses to *TRTS;* 3) liberal intellectuals; and 4) prominent politicians and public intellectuals in London. We find that the commonly understood definition of socialism is central economic planning. Often, this planning necessitated partial or full state ownership of the means of production.

We also examined the arguments of the socialists Hayek was engaging for welfare state measures. Many of the socialists Hayek was engaging in *TRTS* held that state control or ownership of the means of production was necessary to support the fiscal needs of the welfare state. Reducing the inefficiencies and profit of capitalism was considered necessary to achieve the welfare goals of these socialists. Data on the usage of the terms socialism and welfare state from Google Ngrams and Newspapers.com support this contextualized intellectual history.

This new intellectual context bolsters the interpretation of Hayek's central argument in *TRTS* as an argument that applies strictly to central economic planning. While Hayek harbored doubts about the welfare state, he did not intend for his arguments in *TRTS* to apply to welfare policies. This new contextualization also helps explain the origins of the contention in the previous literature. The contention emerges from the fact that many of the socialists Hayek was engaging held that state ownership or control of the economy was necessary to fund the welfare state.

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